

**Time:** 5 minutes**Outcome:** Analyze Advertising, Branding & Nonprice Competition.**Difficulty:**

Intermediate

Advertising, Branding & Nonprice Competition



THE CORE IDEA

Advertising can provide information, persuade buyers, build a brand, and change the elasticity or position of a firm's demand curve. The firm is competing through product features and service rather than changing price. In signaling models, willingness to incur a visible selling cost can sometimes convey information when higher quality supports repeat sales. A fixed selling cost raises fixed and average total cost but does not directly raise MC or AVC. The ad is trying to shape preferences and brand perception rather than mainly transmit facts.



HOW TO RECOGNIZE IT

- A shoe company introduces custom colors and faster delivery while leaving its posted price unchanged.
- Consumers cannot directly observe product durability before purchase.
- A firm buys a one-time advertising campaign that does not change demand.
- A perfume ad links the brand with status and excitement but provides almost no factual product information.
- A branding campaign leaves the number of buyers unchanged but makes them less price sensitive.



WATCH OUT

A common mistake is to misapply monopolistic competition rule. The firm is competing through product features and service rather than changing price. In signaling models, willingness to incur a visible selling cost can sometimes convey information when higher quality supports repeat sales.



WORKED EXAMPLE: INFORMATIVE OR PERSUASIVE ADVERTISING?

A pharmacy advertises that a prescription costs \$8 and that it stays open until 10 p.m. Buyers can compare stores more easily, so search costs fall; this is informational advertising. A separate campaign associates the brand with status without adding product facts; that campaign is persuasive advertising. Both compete without directly cutting price.



CHECK YOURSELF

What does nonprice competition mean?

**READY?**

Return to the game and master this concept.